

UNIT/DEPARTMENT: RETAIL DIGITAL SOLUTIONS

PROCESSES: DISTRIBUTOR FINANCE SOLUTIONS (NCBA BOOSTA)

VERSION: 1.0

DATE: MAY 2024

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DOCUMENT INFORMATION AND REVISION HISTORY:

Document Version	Revised By	Date	Modification Details:
1.0	Peter Githaka	04/09/2025	Revamped Distributor Financing Services (NCBA BOOSTA)

POLICY AND RISK ALIGNMENT:

Aligned to Main Policy and System Specifications:		
Process Risk Assessment Matrix Reference *(Confirming procedure aligned to last assessment)*	**Last Assessment Date:** May 2024	**Next Update** May 2025

REVIEW AND APPROVAL:

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Acronyms

Term	Meaning
NTB	New to Bank
KYC	Know your Customer
DFS	Distributor Finance Services
SME	Small and Medium Enterprise
IPRS	Integrated Population Registration System
BRS	Business Registration Service
AML	Anti-Money Laundering
AMU	Account Maintenance Unit
BRD	Business Requirement Document
RM	Relationship Manager
BM	Branch Manager
CR	Credit Request
NDA	Non-Disclosure Agreement
MOU	Memorandum of Understanding
LMS	Loan Management System

1.0 SCOPE:
This document covers the processes and procedures for Distributor Finance Solutions. It highlights the end to end process of on-boarding the Anchor, creating a loan product, on-boarding eligible customers (distributor/dealers/retailers/stockiest) on LMS and the mobile App, loan application and repayment.

2.0 OWNERSHIP:
The document will be owned jointly by the Group Directors for Credit Risk Management and Retail Banking who will be responsible for ensuring that it remains accurate and up to date at all times. The document will be reviewed annually.

3.0 REFERENCES:
This process review refers to the following documents and guidelines:

1. Pezesha BRD
2. Ecosystem banking framework
3. Pezesha contract
4. Account Opening Procedure
5. Collection and Recovery Procedure

4.0 OUTLINE

A procedure is the detailed list of exact instructions to be carried out in the process steps and the various touch points in a process. This includes instruction manuals and system user guides that give step-by-step instructions on how to perform tasks.

REVISED PROCESS/ACTIVITIES

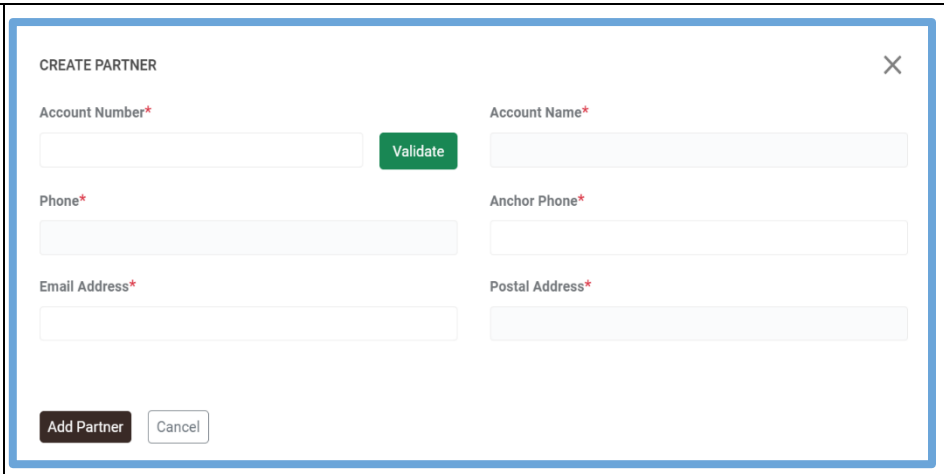
NO.	ACTIVITY	DETAILED TASKS	RESPONSIBLE	SLA
1.0	**ANCHOR SELECTION AND ON-BOARDING**			
1.1	Anchor selection and on-boarding	The Bank will focus on reputable and credible Anchors/Sub-anchors who are willing to partner with the Bank in supporting the downstream actors (Distributors/ Wholesalers/ Retailers/ Dealers etc.) who qualify and are eligible for loans as per the banking underwriting standards. The Anchors will be categorized as follows: 1. Multinational Corporations (MNCs) 2. Regional Corporates 3. Local National Corporates 4. Local anchors/sub anchors The Anchors/ Sub-anchors will be recruited from the Bank Segments and Sectors as defined within market focused approach and those whose products have a cash flow cycle of not more than 90 days. The Bank will participate in the following sectors: a) Agriculture b) Trade c) Manufacturing d) Health e) Energy f) Telecommunications g) Others as defined from time to time	Corporate RMs/ Commercial & SME RMs/BMs/SME RMs	1 week

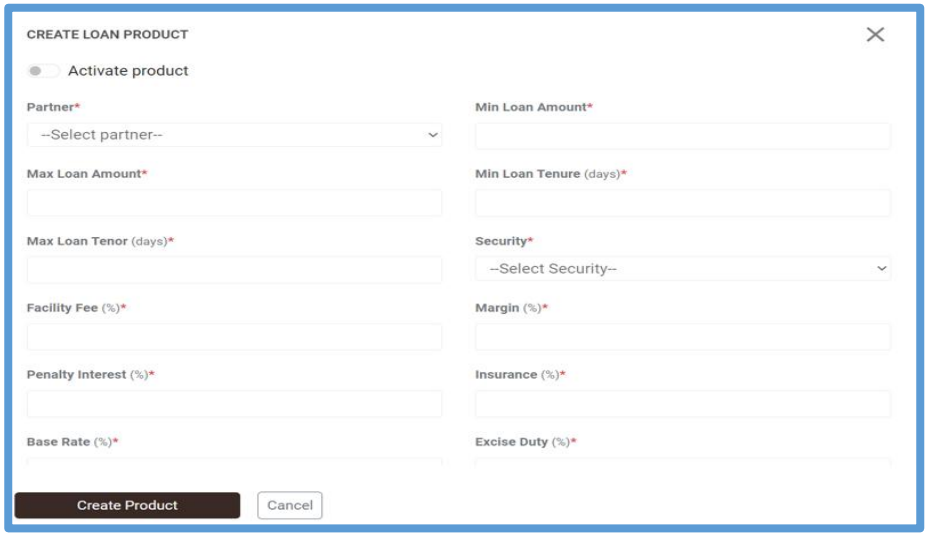
1.2	Guidelines on acceptable business operating model for eligible anchors	When engaging the Anchor for Dealer/Distributor/Retail Financing, the following guideline should be followed: - Established Business model - It is important to understand the business model of the anchor and the entire value chain. It is also important to establish the revenue model of the Business. (How the business makes and loses money) - Product ownership - Clarity on the nature of goods/product, preferably Fast-moving consumer goods) - Clarity of the route to market for the products and nature of distribution framework. - Exclusive vs Non-exclusive distributorship, Territorial, categorization etc. - Anchor must have clear visibility/sight of data i.e., the trading volumes for the distributors/ retailers - Clear/demonstrable trading cycles – This will inform on appropriate loan tenor. Does the anchor have peak and off-peak trading cycles? - Positive product margins - This will inform on appropriate pricing matrix - Clarity of Terms of Trade extended to the distributors; cash versus credit terms, discounts if any, loyalty programs and how they are managed - Clarity on how the distributors place their orders to the anchor - The payments/disbursements shall be made once goods have been received by the distributor/retailer to minimize payment for historical/bad debts - Clarity of the payment/ collection channels in use; Lipa na Mpesa, NCBA Tills, PDQ etc - The Anchor must provide accurate Debtor's book & Ageing analysis for the period required and anchor must have accurate data of trading volumes for the distributors/retailers	Corporate RMs/ Commercial & SME RMs/BMs/SME RMs	Daily engagements

		▪ Anchors should be encouraged to have ERP that can integrate with the Banks systems and platforms. This brings in efficiency and real time visibility of information between the Bank and the Anchor. ▪ Anchor should be willing to provide the requisite documents for on boarding the anchor ▪ Favorable Credit Reference Bureau Reports/ favorable AML Reports - to be generated internally by AML units		
1.3	Detailed requirements for anchors & sub-anchors	**For anchors with existing Relationship/Accounts with the Bank – No KYC requirements** ▪ Company profile to be prepared internally by the designated RM with information from publicly available documents and containing below minimum financial information. ▪ Distributor/Retailer purchase data to support limit determination to be provided in the below format by the Anchor ▪ Two year's audited financial statements ▪ Current management accounts (where the latest audited accounts are older than 1 year) ▪ Any other information which the Bank may deem necessary to support the process/request will be requested on a case-by-case basis ▪ Call report **For anchors without existing Relationship/Accounts with the Bank – KYC documents required** ▪ Full Anchor onboarding requirement and KYC requirements upfront as per the Account Opening procedure ▪ Certificate of Incorporation (where applicable), Registration certificate, Company PIN, Memarts (where applicable), copy of ID/passport for all directors.	Corporate RMs/ Commercial & SME RMs/BMs/SME RMs	Daily engagements

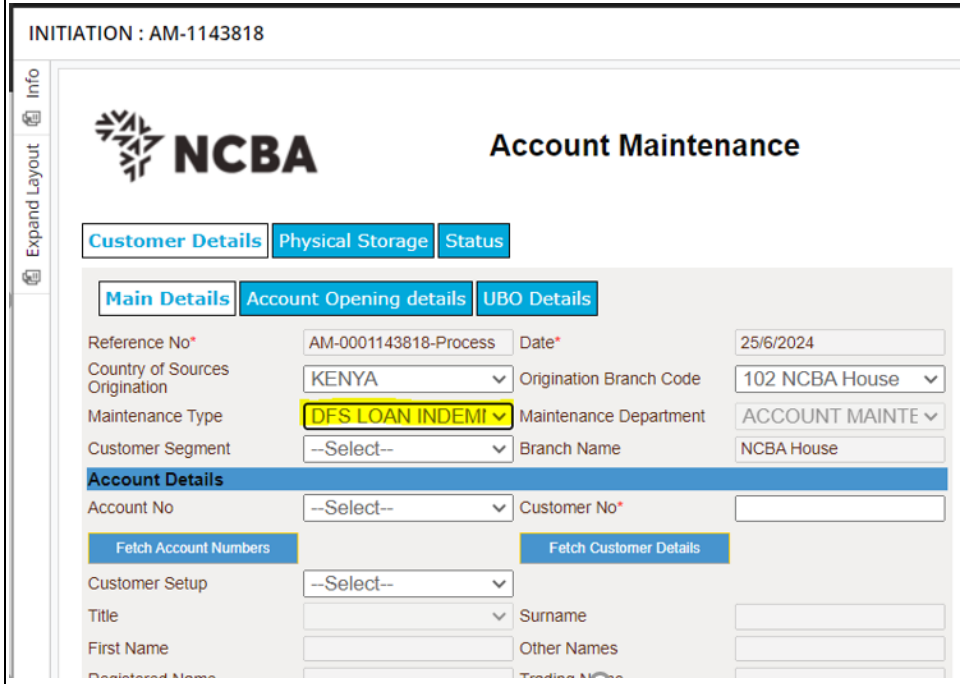
		▪ Full company profile including management structure/Governance Framework, business operating mode and distribution channels ▪ Two years audited accounts and current Management accounts ▪ Current Aging Analysis ▪ List of Distributors/Retailers/stockist under the Anchor ▪ Distributor/Retailer/Stockist 6 month's purchase data as per the below format to facilitate scoring and limit assignment. ▪ Call report ▪ The anchor MUST be willing to open a collection account with NCBA where the funds will be credited upon successful loan disbursements		
1.4	Anchor appraisal process	1. Corporate RM/SME RM/Branch Manager • They will be responsible for engaging the anchors and collecting all the requisite documents for appraisal per the approved checklist (Refer to Appendix 4.4). • Generate the appraisal memo/CR 2. NDA execution • This is a legal document that allows exchange of data, documents and information between the parties involved • Legal has given a standard template to be adopted 3. Anchor appraisal • The RM responsible prepares a credit proposal recommending the approval of the anchor • The terms of engagement are contained in the proposal – Tenor, Pricing 4. Launch the proposal through document approval system 5. The approvers review the proposal, in case of any issues raised, the RM responsible addresses them and reverts back 6. Final sign off	Corporate RMs/ Commercial & SME RMs/BMs/SME RMs CRM, Legal, AMU	2 weeks

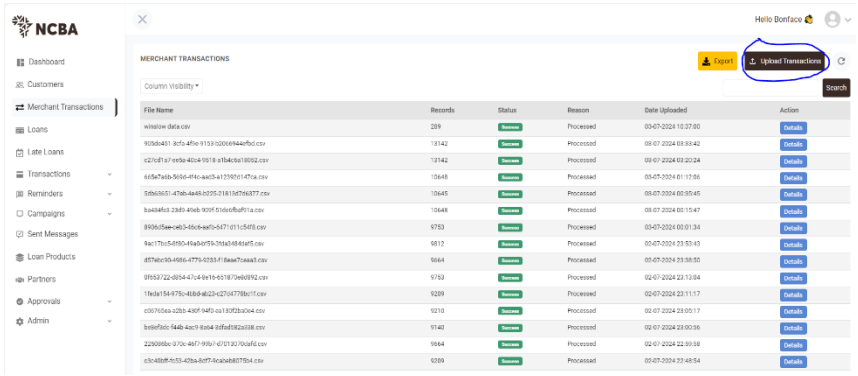
		• Upon securing the approval, final copy is shared via email with the business and legal department for preparation on the MOU. 7. MOU execution • Legal has developed a standard MOU template to be adopted • The MOU stipulates the obligations of each party involved • MOU must be duly executed by both parties 8. Program set up & uploading the scoring data • The business complete and share an approved Program set up form with Credit Operations team. • The Credit Operations support to create the partner and the loan product in the LMS per the approved terms and conditions – Tenor, pricing, amounts, • The Credit Operations proceed with set up of the program which has a maker checker. • AMU for independence, upload the data for scoring (manual) • Through the data ingestion API, data with be uploaded from the Data Warehouse (EDW) to LMS for scoring and limit allocation. (Future). The data must be submitted as per the standard template (see appendix 4.4) Url: https://testapi.ncbagroup.com/test/pezesha-data-rw/api/v1/seed?from=20240315&to=20240321 Cluster Url: https://ncba-core-test-api.ncbagroup.com/pezesha-data-rw/api/v1/seed?from=20240315&to=20240321		

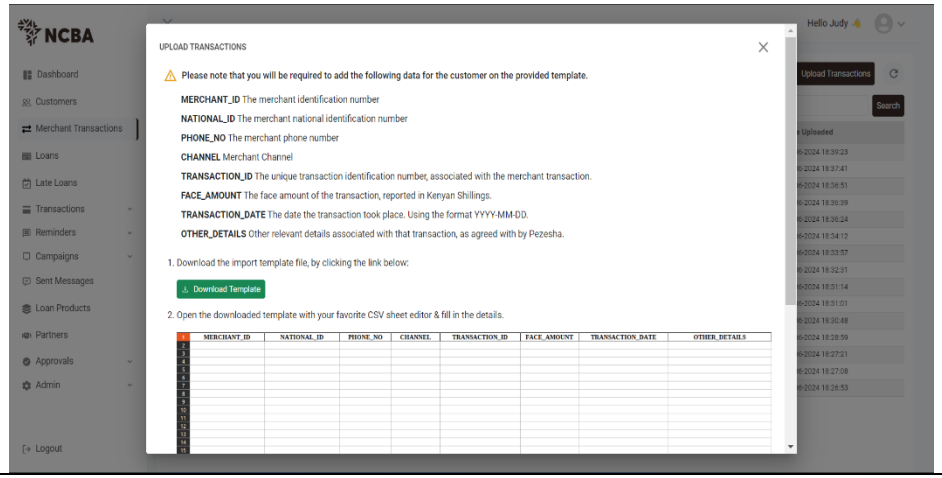

CREATE PARTNER
Account Number*
Validate
Account Name*
Phone*
Anchor Phone*
Email Address*
Postal Address*
Add Partner
Cancel

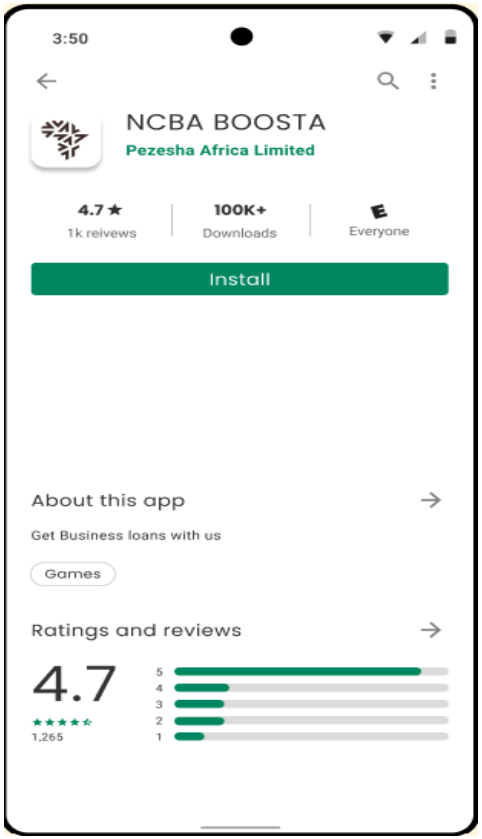

CREATE LOAN PRODUCT
Activate product
Partner*
--Select partner--
Min Loan Amount*
Max Loan Amount*
Min Loan Tenure (days)*
Max Loan Tenor (days)*
Security*
--Select Security--
Facility Fee (%)*
Margin (%)*
Penalty Interest (%)*
Insurance (%)*
Base Rate (%)*
Excise Duty (%)*
Create Product
Cancel

1.5	Account opening process	• The customer is advised by their respective RM to open a DFS account (1043) or a business current account which should be used to complete the App registration. • The account will be opened manually (via IBPS at the branch) or digitally (via digital account on-boarding). • Phase 1 will deal with existing customers with single mandates as follows; ✓ Receive data form the Anchor ✓ Confirm if the data conforms to the approved data submission template ✓ Using the ID Nos provided, check if the customer has an existing NCBA account ✓ If the account exists, check the account mandate ✓ If the account mandate is single (Either to sign, One to sign, Self, Any to sign), proceed with data upload ✓ In case the account has multiple mandates, liaise with the BM/SME RM responsible to advise the customer to nominate one director who will be operating on behalf of the company ✓ The company duly signs the board resolution and fills out the "Loan disbursement Indemnity form" ✓ Branch archive the duly signed form and shares the details of the nominated director with the Retail Digital team ✓ Proceeds with data upload	Branch, AMU, IBPS Retail Digital Retail Digital AMU Retail Digital Branch Branch Retail Digital Branch AMU	10 minutes 30 minutes

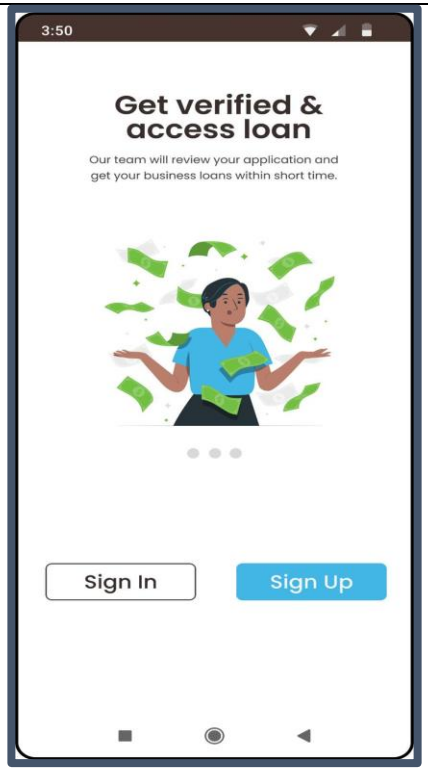
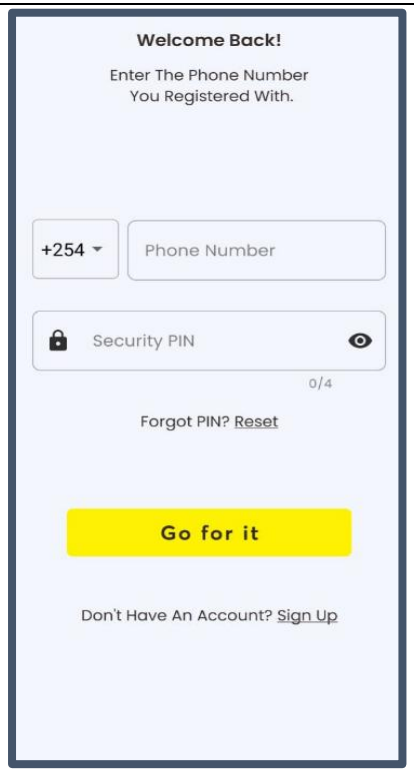
		• If the entity is owned by several directors and the account has got multiple mandates, then all directors will sign the loan disbursement indemnity form nominating one director to operate the account on behalf of the entity. See sample attached as Appendix 3. The form will be uploaded in IBPS under DFS loan indemnity. • Phase 2 will deal with new to bank customers. The system will have an enhanced muilti-approver capability for accounts with multiple mandates. 		
1.6	Customer onboarding process	The customer on-boarding includes the following steps: • The anchor shares the data via email for proposed customers using the recommended format (Refer to Appendix 4.5). **NOTE**: Business accepts data manipulation risk on the data shared by the anchor and seeks to integrate with the Anchor's ERP to ensure real time data access in the long-term.	Retail digital team, Retail credit analytics, AMU	3 hours

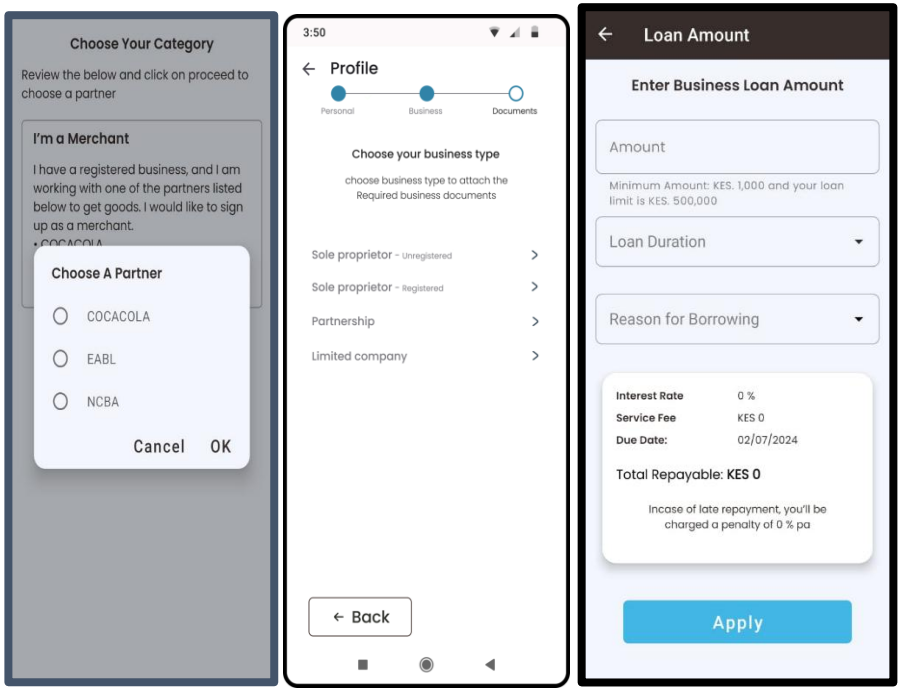
		• The data is reviewed by the digital team • The data is forwarded to Retail Credit Solutions for further review and approval • Upon approval, the data is forwarded to the HOD Retail Digital Solutions for review and approval. • In case the data is not okay or as per the agreed format, feedback is relayed to the anchor for correction. • Upon approval, the data is forwarded to Account Maintenance Unit for upload in LMS • Credit operations will create the Anchor and product program in LMS. This involves defining the Anchor's collection account, loan tenor, pricing, limit expiry dates, • Through the data ingestion API, data with be uploaded from the Data Warehouse (EDW) to LMS for scoring and limit allocation. The data must be submitted as per the standard template (see appendix 4.4) • LMS link: [NCBA - Dashboard (z01.azurefd.net)] • The scorecard will be monitored closely and reviewed accordingly to ensure that only eligible customers are assigned the loan limit. 	CSME CRM and Credit Policy, Quality Assurance & Compliance	Monthly

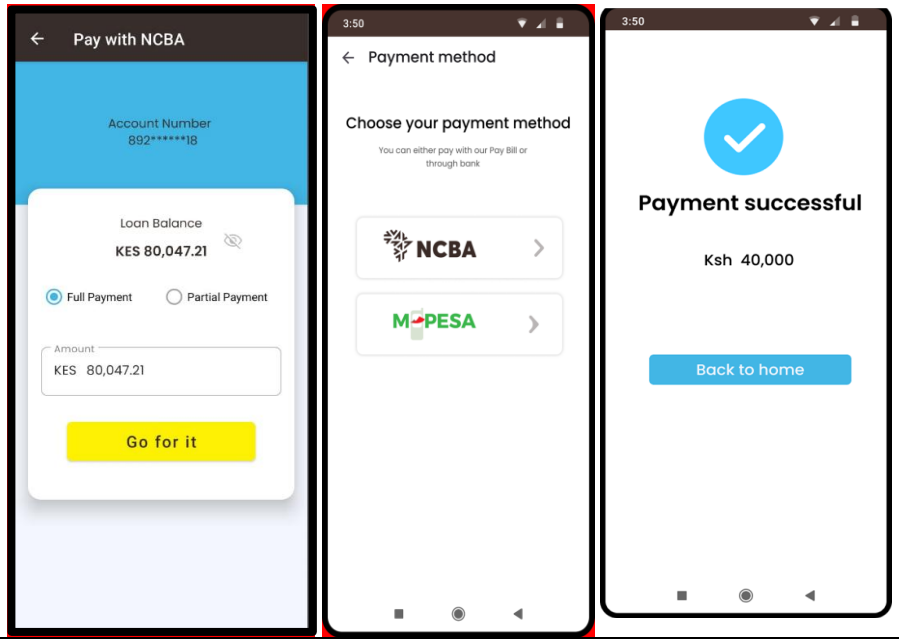
				
1.7	Customer self on-boarding on the App or Web	1. On successful data upload, the user gets an invite SMS with a link to download the APK from the Play/App stores. **Sample Invite SMS** *Dear customer, you have been shortlisted by EABL for an NCBA Boosta Loan to grow your business. Your current loan limit is KES XXXX. To apply kindly visit www.NCBABOOSTA.com*	Customer	5 minutes

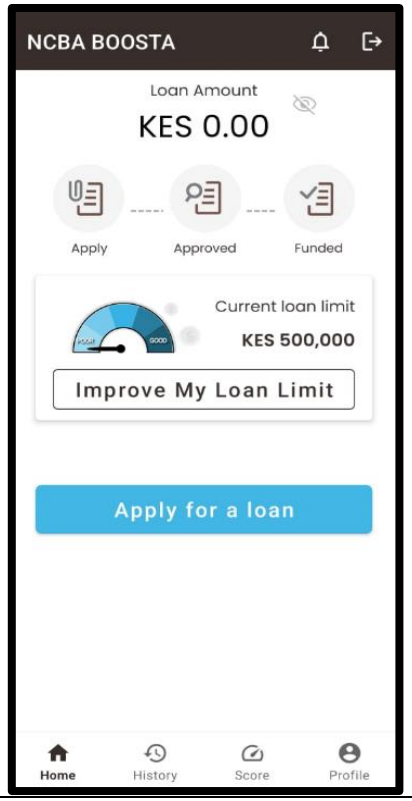
		 **1. New users: Sign up** i) Merchant clicks a link (*www.NCBABOOSTA.com)* to register that takes them to the Pezesha web/app and chooses their anchor partner. ii) They fill their profile and upload their KYC documents which includes the ID copy and the photo.	Customer	5 minutes

		iii) Merchants will be validated from the list provided by anchor partner if they belong to their network. If the data for the merchant has not been received from the Anchor & uploaded successfully, then the merchant will not proceed with registration. iv) Merchants might be prompted to upload additional documents. Please note the score and limit might improve, or remain the same from the output of scoring via Mpesa statements v) The customer will be required to provide KYC details depending on the business category and complete onboarding process vi) NCBA system receives registration request and creates Customer profile. The customer will then proceed and request for a loan. **2. For registered users: Sign in** i) Merchant clicks a link, (*www.NCBABOOSTA.com*) ii) Since the customer is already registered, click sign in to proceed iii) The customer will be prompted to key in their phone numbers and PIN iv) Upon successful validation of the credentials, the customer can now navigate the menu v) This should take at least 2 minutes	Customer	2 minutes

		 		
1.8	Loan application & Disbursement	Loan application will happen via APP, USSD (in future) or Web Upon successful login, the customer lands on the main menu, displaying the program enrolled, limit assigned and loan access option • Select supplier/program (Only suppliers linked to the logged in customer will be displayed) • Enter loan amount (qualified limit will be displayed) • Choose loan tenor • Choose loan purpose • Confirm the loan details i.e. Processing fees, interest, tenor, due date • If the customer is okay with the terms, submit loan request	Customer	2 minutes

		• Upon successful loan disbursement, the funds are credited to the partner's account and the customer is notified via SMS. **NB:** In cases where the account has multiple mandates, both the nominated party/director and all other directors will receive the SMS notification. 		
1.9	Pay loan	The customer selects "Pay loan" i) The customer selects "Pay loan" ii) Selects payment method – Either from NCBA account or Mpesa iii) Selects payment option – Either full or partial payment iv) Enter PIN to complete transaction v) Receives an SMS confirmation on successful loan payment	Customer	2 minutes

		vi) There will be an option for Automatic debit through T24 COB or sniffing tool 		
2.0	Check loan limit	i) The assigned limit will be displayed on the landing page ii) In addition, the limit assigned will be contained in the invite SMS. **Note**: • NCBA system (LMS) should process the request. ✓ Loan booking to be done with the LMS ✓ All the entries in LMS to be passed to T24 and GLs as a single file entry • The system should debit the customer account and credit the charges to the respective GL accounts; then credit loan amounts less charges and send notification to customer. • Disbursement to distributor/Customer will be less charges and excise duty	Customer	2 minutes

		• The loan amount requested should not exceed the Customer credit limit. • Line of credit will be availed for customer to utilize within their credit limit. However, customer cannot have more than one outstanding loan at any given time. ✓ Amounts greater than Customer's eligible loan limit will be rejected with an appropriate message. ✓ Failed requests declined due to other reasons like CRB, existing Loans will be advised with appropriate message  Dear customer, you have been shortlisted for an NCBA BOOSTA loan by COCACOLA to grow your business. Your current loan limit is KES 500000. To apply, please click here: www.somelink.com. For queries, call 0711056444/0732156444 or WhatsApp: 0717804444		
2.1	Credit Scoring	• LMS link: NCBA - Dashboard (z01.azurefd.net)	LMS	2 minutes

- The LMS will have an inbuilt efficient and easy to use credit scoring algorithms and score cards. The credit scoring tool will process accurate real time scoring and maintain customer limits.
- The LMS will compute the credit scores of customers and assign credit limits of each Customer based on KYC and transactional data received from the customer and partner/supplier and CRB, among the various data points. There are a set of business rules, credit cut off and lead management through system configuration that define lending risk management.
- Once the credit scores have been computed, SMS notifications with a link to the app will be sent to the customers prompting them to access the facility.

Category	**message**
Successful Prescore SMS with limit	Dear <Customer>, you've been selected by <name of the merchant> for an NCBA BOOSTA loan to grow your business. Your current loan limit is KES <amount>. To apply, please click here: <insert link>. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.
Prescore sms without limit	Dear <Customer>, you've been shortlisted for an NCBA BOOSTA loan by <name of the merchant> to grow your business. To get a limit, please upload your M-Pesa statement on our NCBA BOOSTA App. Click here <insert link> to download. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.
OTP at signup	Dear Customer, your NCBA BOOSTA One Time Password is: <OTPcode>. Please note that this code expires in 5 minutes. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.
Reset pin	Dear Customer, your NCBA BOOSTA One Time Password is: <OTPcode>. Please note that this code expires in 5 minutes. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.

			Successful PIN reset	Dear <Customer>, your PIN for the NCBA BOOSTA loan App has been reset successfully. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Start Mpesa validation	Dear <Customer>, your M-Pesa statement validation has been completed successfully and the loan assessment process has begun. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Mpesa validation	Dear <Customer>, your M-Pesa statement validation failed due to <insert fraud check/reason>. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Successful Mpesa validation	Dear <Customer>, your M-Pesa statement validation was successful. The loan assessment process has begun. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Loan disbursement notification	Dear <FirstName>, your NCBA BOOSTA loan of KES. <loanAmount> has been approved and will be disbursed to your account shortly. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Loan recovery	Dear <FirstName>, your outstanding loan balance of KES <originalBal> has been fully recovered from your account: <maskedAccountNo>. To apply for another loan, please visit the NNCBA BOOSTAe App. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Partial payment recovery	Dear <FirstName>, a partial payment of KES <amountPaid> has been automatically deducted from your account: <maskedAccountNo> for your NCBA BOOSTA loan. Your outstanding loan balance is now KES <bal>. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			
			Full loan repayment	Dear <FirstName>, your loan amount of KES <loanPrincipal> has been fully settled. To apply for another loan, please visit our NCBA BOOSTA App. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.			

			Partial payment confirmation	Dear <FirstName>, we have received a partial payment of KES <amountPaid> towards your NCBA BOOSTA Loan. Your remaining loan balance is now KES <loanBalance>. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.		
			No active loan	Dear <CustomerName>, you do not have any active NCBA BOOSTA Loans at the moment. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.		
			Insufficient funds to pay loan	Dear <CustomerName>, your NCBA BOOSTA Loan repayment could not be processed at the moment due to insufficient funds. Please top up your account or try a lower repayment amount to proceed. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.		
			Loan repayment OTP	Dear <CustomerName>, your NCBA BOOSTA App Loan repayment has been initiated. To proceed, please enter the OTP code: <otpCode>. For queries, call 0711056444 / 0732156444 or WhatsApp: 0717804444.		

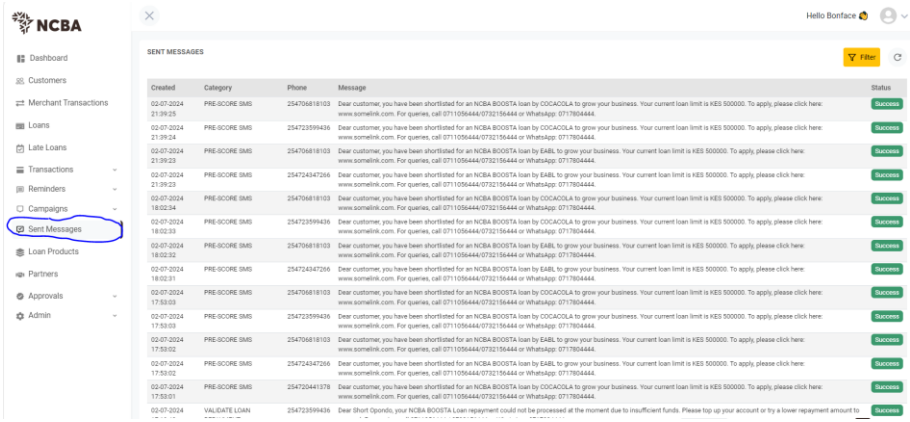
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<tr>
<td>2.2</td>
<td>Key Accounting Entries</td>
<td>

The LMS to create entries on real time basis as shown on the table below with corresponding entries in T24:

Below are the expected accounting entries
<table>
<tr><th>Event</th><th>New Account</th></tr>
<tr><td>Arrangement fee</td><td>PL52088</td></tr>
<tr><td>Excise duty on arrangement fee</td><td>KES1540300010001</td></tr>
<tr><td>Principal Interest</td><td>PL51020</td></tr>
</table>
</td>
<td>LMS, T24</td>
<td>Realtime</td>
</tr>
</table>

<table>
<tr><td></td><td></td><td><table>
<tr><td>Penalty interest</td><td>PL51021</td></tr>
<tr><td>Pezesha Loan control account</td><td>KES1233800010001</td></tr>
<tr><td>Pezesha Interest Income Accrual Ac</td><td>KES1233800020001</td></tr>
<tr><td>Pezesha Penalty Interest Income Accrual Ac</td><td>KES1233800030001</td></tr>
<tr><td>Principal Interest Income Suspense Account</td><td>KES1760628900001</td></tr>
<tr><td>Penalty Interest Income Suspense Account</td><td>KES1760628910001</td></tr>
</table></td><td></td><td></td></tr>
<tr><td>2.3</td><td>Transaction Notifications</td><td>This will be sent on real-time basis and will relate to below transactions:

I. Loan limit check
II. Loan disbursement
III. Loan balance check
IV. Loan repayment

 
</td><td>LMS, T24</td><td>Realtime</td></tr>
<tr><td>2.4</td><td>Portfolio Monitoring</td><td>This category of messages will be sent based on the age of the loan. There will be loan ageing service that will assist manage the loan schedule and trigger release of the messages at the appropriate time. The messages will be sent before, on and after due date as follows;

1. An automated message is sent to each borrower 1 day upon disbursement indicating amount disbursed and the due date.</td><td>LMS, T24, Kollect pro</td><td>Realtime</td></tr>
</table>

<table>
<tr>
<td></td>
<td></td>
<td>2. 5 days before the whole loan or installment loan is due, a prompt SMS is automatically sent to the customer via the LMS platform to remind him or her of the due date
3. 3 days and 1 day before the loan is due a PEZESHA Collection Officers call the borrower to remind him /her for payment.
LATE MERCHANT WORK
The touchpoints for late merchants are as below
• SMS: 5 SMSs
• Phone call: 5 calls
• Field visit: 2 field visits
• Internally generated Demand notice- 2 notices
• Demand letter - 2 letters
NOTE: As per the contract signed, Pezesha will be responsible for collecting defaulted loans up to 30 days. Thereafter, the loans will default back to BRM for support. Refer to Collection and Recovery Procedure document Pages 66 - 69</td>
<td>Pezesha, RED, BRM, Portfolio Management team</td>
<td>Daily engagement</td>
</tr>
<tr>
<td>2.5</td>
<td>Loan grading and risk classification</td>
<td>Loan grading and risk classification will be done as per the CBK prudential guidelines and bank internal credit risk policy
<table>
<tr><th>Grade</th><th>Classification</th><th>No of days past due</th></tr>
<tr><td>1</td><td>Normal</td><td>0 – 30</td></tr>
<tr><td>2</td><td>Watch</td><td>30 – 90</td></tr>
<tr><td>3</td><td>Sub-Standard</td><td>90 – 180</td></tr>
<tr><td>4</td><td>Doubtful</td><td>180 - 360</td></tr>
<tr><td>5</td><td>Loss</td><td>360+</td></tr>
</table>
</td>
<td>Portfolio Management team</td>
<td>Daily engagement</td>
</tr>
</table>

2.6	Penalty on default	The loan to incur a penalty of 30% p.a. based on the outstanding principal amount.	Portfolio Management team	Realtime
2.7	Loan Loss Provisions	Non- Performing loans will be provided for as per the CBK prudential guidelines and IFRS 9 guidelines. Write off shall follow the laid down process outlined in the Collections and Recoveries Procedure.	Portfolio Management team	Realtime
2.8	Reporting Requirements	a) Reports will be generated from BI and from the portal b) Customer creation reports –success and failures (status) with failure reasons will be availed on the portal c) Loan requests –Success and failure (status) with failure reasons d) Loan repayments - Success and failure (status) with failure reasons e) Overdue Loan reports, Ageing in days, value and accrued interest and penalty f) Loans rolled over report g) Commissions collected report, per day, Month, year and split between the Interest collected and arrangement fees	Portfolio Management team, Finance, Credit Ops	Daily engagements
3.0	**CUSTOMER ISSUES RESOLUTION**			
NO.	**ACTIVITY**	**DETAILED TASKS**	**RESPONSIBLE**	**TIMELINES**
3.1	Loan reversals	In the instances where there is a dispute related to the loan in question 1. Receives the reversal request review, recommend and submit to business segment head for approval 2. Business Segment Head approves 3. Raise a GRC for the reversal request 4. Raise an IBPS item to Credit operation team with the Business segment Head approval attached **Note:** The process should follow the approval matrix and the PL to be debited will be defaulted to the customer's domicile branch. CC team can always liaise with the branch in question in this case. 5. Execute the reversal request end to end	Branch team / CC/RM Business Segment Head Branch team / CC/RM Credit Ops	6 hours

3.2	Crisis management process	This define the process to be followed in instances where there is a crisis caused by system outage affecting services such as loan repayment and loan application. 1. Identify the system related issue causing the crisis and raise with relevant stakeholders for resolution. Share notification on downtime and the expected timelines for resolution with all stakeholders which should include the below segments: ✓ Retail digital banking ✓ Customer experience ✓ All branches 2. During a crisis confirmed by monitoring team the cc team should respond as follow depending on the affected services: ✓ Loan application crisis: - Extract from LMS system, the report of affected customers and send a service recovery message for loan application after services restored. ✓ Loan repayment crisis: - For Loan repayment, collate the affected prepare a batch file and share the same with credit Administration team. **Note:** The loan repayment file may be merged with the daily batch file from credit Administration team to IT for processing but in case a crisis happens after the routine file has been submitted then one should be prepared exceptionally for execution	IT Monitoring team CC	30 minutes
3.3	PIN reset on LMS portal	Currently, it is not possible to do a PIN reset on LMS portal. This has been scoped in phase 2. However, the customer can initiate PIN reset via the APP or WEB under "Forgot PIN"	Customer	2 minutes
3.4	Closed accounts deactivation on LMS portal	Currently, it is not possible to deactivate a closed account on LMS portal. This has been scoped in phase 2.	Digital Channels	N/A
3.5	Change of customer static data: Phone number update for an existing number on LMS portal	Currently, it is not possible to update any customer static data on LMS portal. This has been scoped in phase 2. However, as a work around, the phone number and the account can be delinked manually by the Digital Channels and then request the customer to register afresh using the new phone number.	Digital operations/CC	1 hour

3.6	Post data upload	Post the data upload, the BI team should extract and avail data detailing the upload status as follows; ✓ Generate and share output file after the upload with either successful or failed status ✓ Provide details {Value & Volumes} of failed upload with reasons of fail	BI	6 hours
3.7	Loan repayments and payoffs	This is an intervention in instances where customers are unable to repay loans normally through their mobile phones. Currently, it is not possible to manually initiate loan repayment or pay off on LMS portal. This has been scoped in phase 2. However, the customer can initiate loan repayment request via the APP or WEB.	Credit Ops	6 hours
4.0	**SUPPORT STRUCTURE**			
NO.	**ACTIVITY**	**DETAILED TASKS**	**RESPONSIBLE**	**TIMELINES**
4.1	Coordination of lending initiatives	The key role is to coordinate all ecosystem lending initiatives across all the function i.e. Branches, Segment, Product Heads, Digital Lending and Credit Risk Management to ensure that the Ecosystem Strategy is effectively implemented and executed.	Commercial & SME RMs	Daily engagements
4.2	Anchor on-boarding	o Ensure that all the Ecosystem Anchors within their portfolio are appraised and on-boarded	Corporate and Commercial & SME RM	Daily engagements
		o Provide all KYC information of the Anchor per the provided checklist		
		o Propose a product structure in terms of pricing and tenor customized to the Anchor		
		o Provide the data from the anchors regarding the downstream actors		
		o Participate in marketing initiatives of the product by the Anchor		

		o Enforce the roles and responsibility of the Anchor as stipulated in the MOU		
		o Responsible for PAR owned to the Anchor		
		o Ensure all the customers are onboarded and utilizing the product		
4.3	Regional Anchor on-boarding and monitoring	o Ensure all approved Ecosystem players in the region are on-boarded successfully	Regional Managers	Daily engagements
		o Coordinate recruitment of ecosystem players (anchors, sub-anchors, retailers) across all bank segments		
		o Drive Ecosystem products and services uptake		
		o Responsible for the Ecosystem Banking growth in assigned Region as per the KPI		
		o Responsible for PAR management		
		o Managing Ecosystem dormancy		
		o Overall reporting for all the Ecosystem Banking business across the region and segment end to end		
4.4	Branch Anchor on-boarding and monitoring	o Recruitment and timely onboarding of Ecosystem players within the branch coverage	Branch SME RMs & CPAs	Daily engagements
		o Collate all the KYC documents		
		o Facilitate customer on boarding		
		o Customer relationship management		
		o Managing ecosystem dormancy		
		o Cross sell other Bank Products		
		o Customer performance monitoring and PAR management		

4.5	Product support	o Establish Data Validation Unit are accurate and authentic	Ecosystem Banking team/Retail Digital Team	Daily engagements
		Timely data processing and pre-scoring		
		Provide relevant product mapping in the system		
		Monitoring system uptime and escalation where necessary		
		Update the limits on regular basis as defined in the MOU		
		Ensure RMs/ Branches can access timely reports		
		Continuous product innovation to ensure competitiveness		
4.6	Operations & maintenance	o Creation of Anchors	Credit operations	Daily engagements As per required creation/Daily
		o Uploading customer's data	Account Maintenance Unit	
		o Termination of partner's limit when needed	Credit operations	
		o Maintain the loan product as approved		
4.7	Customer support	o Customer enquiries and support	Branches & Contact Centre	Continuous engagements
		o Issues resolution and escalations where necessary		
		NB: The Contact Center team will be equipped with access to the LMS, and any matters necessitating escalation will be addressed via CRM.		
4.8	Information management & reporting	o E2e view of the solution	Digital Channels/ Analytics	Continuous engagements
		o Management Information		
		o Reporting		

4.9	**Reconciliation**	Reconciliation will occur by comparing T24 report and LMS statement. The matching will be done in intelimatch using T24 FT reference which will be available in both T24 and LMS system. The reconciliation will involve both disbursement and repayments which are all under Pezesha control account **KES1233800010001**	**Financial controls Team.**	Daily engagement.
		All exceptions after reconciliation will be sent to ICT for re-push. The exceptions raised with ICT should be resolved same day.	**ICT**	
		Retail Digital Team will support with follow up of outstanding items in the suspense. Any item not resolved by ICT should be escalated to Retail digital team the next day. All outstanding items should be resolved within **two days**.	**Retail Digital Team**	
5.0	**Revenue Assurance**	Revenue assurance will occur by confirming all facilities booked on the LMS Pezesha portal have been properly priced i.e. at existing NCBA Kes base rate + Applicable Margin of 4.1% Secondly a comparison of the T24 PLs extract where interest income (PL51007), penalty interest (PL51008) and facility fees (PL52088) are credited will be done vis-à-vis the LMS statement/data from the LMS Pezesha portal or Power BI to identify any exceptions between the two sets of data.	**Financial controls Team.**	Continuous engagements
		Any exceptions or anomalies identified after assurance in regard to system lapses will be shared with IT for resolution while any other exceptions that require manual interventions relating to non-collection of any facility fees identified, interest income and penalty interest identified will be shared with the relevant business team - Retail Digital Team for action.	**IT & Retail Digital Team**	

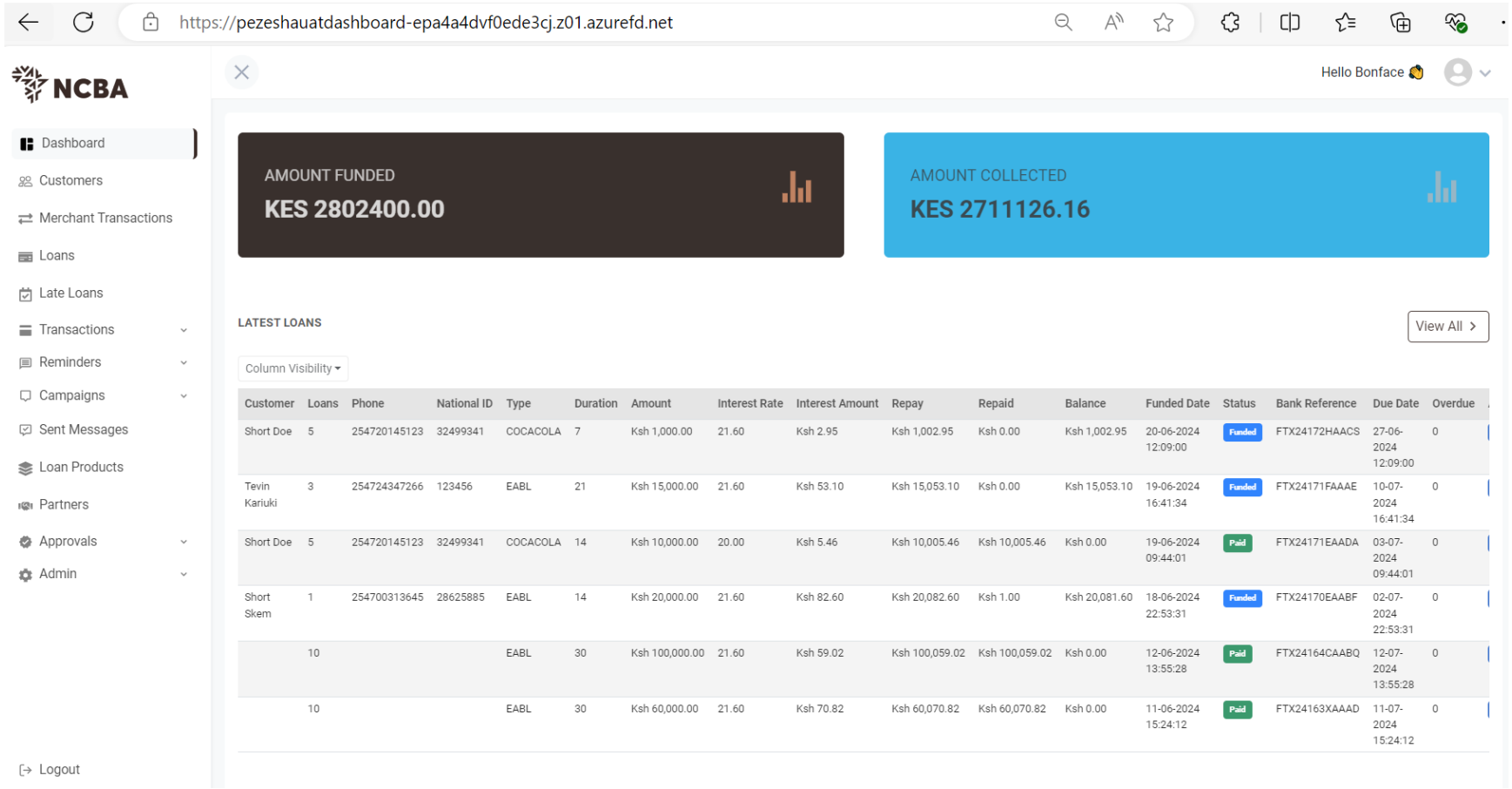
5.0 Appendix

5.1 Escalation Matrix

Escalation Level	Description	SLA	Bank contact person	Title	Pezesha contact person	Title
1	Emergency incident Critical service affecting	2 days	Morphael N. Nyabayo	Senior Manager, IT Channels Support Email: Morphael.Nyabayo@ncbagroup.com Tel: 0721872160	Dalton Korir	Google Cloud, DevOps and Infrastructure Engineer Dalton@pezesha.com 0727 222 889
2	Medium priority incident Medium service affecting	4 days	Jack Sikenyi	Head, Enterprise Applications Support Email: Jack.Sikenyi@ncbagroup.com Tel: 0722495816	Glen Oduge	Technical Lead glen@pezesha.com 0702 219 293
3	Low priority incident Minor service affecting	1 month	Isaac Owilla	Director, Head of Operations and Group Director Tech and Ops Isaac.Owilla@ncbagroup.com Tel: 0768863955	Simon Muraya	Chief Technical Officer Simon@pezesha.com 0719 636 010
4	Support questions Non-service affecting, existing functionality	48 hours	Collyns Ouko	Head, Retail Banking Digital Solutions Collyns.Ouko@ncbagroup.com Tel: 0720913615	Dennis Gathage	Technical Product Manager dennis@pezesha.com 0727 375 321

5	Support questions Non-service affecting, existing functionality	48 hours	Tirus Mwithiga	Group Director Retail Banking Dennis.Njau@ncbagroup.com Tel: 0722219614	Hilda Moraa	Chief Executive Officer Hilda@pezesha.com Tel: 0720152698

5.2 Loan Management System (LMS)



Customer	Loans	Phone	National ID	Type	Duration	Amount	Interest Rate	Interest Amount	Repay	Repaid	Balance	Funded Date	Status	Bank Reference	Due Date	Overdue
Short Doe	5	254720145123	32499341	COCACOLA	7	Ksh 1,000.00	21.60	Ksh 2.95	Ksh 1,002.95	Ksh 0.00	Ksh 1,002.95	20-06-2024 12:09:00	Funded	FTX24172HAACS	27-06-2024 12:09:00	0
Tevin Kariuki	3	254724347266	123456	EABL	21	Ksh 15,000.00	21.60	Ksh 53.10	Ksh 15,053.10	Ksh 0.00	Ksh 15,053.10	19-06-2024 16:41:34	Funded	FTX24171FAAAE	10-07-2024 16:41:34	0
Short Doe	5	254720145123	32499341	COCACOLA	14	Ksh 10,000.00	20.00	Ksh 5.46	Ksh 10,005.46	Ksh 10,005.46	Ksh 0.00	19-06-2024 09:44:01	Paid	FTX24171EAADA	03-07-2024 09:44:01	0
Short Skem	1	254700313645	28625885	EABL	14	Ksh 20,000.00	21.60	Ksh 82.60	Ksh 20,082.60	Ksh 1.00	Ksh 20,081.60	18-06-2024 22:53:31	Funded	FTX24170EAABF	02-07-2024 22:53:31	0
	10			EABL	30	Ksh 100,000.00	21.60	Ksh 59.02	Ksh 100,059.02	Ksh 100,059.02	Ksh 0.00	12-06-2024 13:55:28	Paid	FTX24164CAABQ	12-07-2024 13:55:28	0
	10			EABL	30	Ksh 60,000.00	21.60	Ksh 70.82	Ksh 60,070.82	Ksh 60,070.82	Ksh 0.00	11-06-2024 15:24:12	Paid	FTX24163XAAAD	11-07-2024 15:24:12	0

5.3 Loan Disbursement Indemnity Form

LOAN DISBURSEMENT INDEMNITY

TO: NCBA BANK GROUP PLC

P.O. BOX 44559 - 00100

NAIROBI.

I/We _____ of Mailing Address _____ Company Registration No. _____ (“hereinafter referred to as “the Client”) has requested NCBA Bank Group PLC of P.O. Box 44559 - 00100 Nairobi ("hereinafter referred to as “the Bank") to act on instructions Transmitted via Telephone_____, for Account Number_____ operated by _____ being the person appointed by the company as per the board resolutions dated _____to operate and issue instructions through the said telephone number.

The Bank is prepared to act upon the instructions received via the Telephone Number stated above subject to the Client providing this form of indemnity on the terms and conditions stated herein below: I/We;

1. irrevocably authorize the Bank to make loan disbursements and comply with all requests or loan application from Loan disbursements Telephone number hereinabove provided without any reference to or further authority from me/us and without enquiry into the justification therefore or validity thereof and agree that the Bank may assume the authenticity thereof and that any Loan disbursements which the Bank shall make or instructions which the Bank may comply in accordance or purporting to be in accordance with such telephone instructions shall be binding upon me/us and shall be accepted by me/us as conclusive evidence that the Bank was mandated to make such Loan disbursements or comply with such demand.

2. Agree and acknowledge that it is not possible for the Bank to check the authenticity of telephone instructions that claim to come from the Client.

3. Shall be entitled to amend the Afore-mentioned telephone number and by written resolutions duly executed per the authorized mandate vide the bank’s records.

4. Agree that all telephone instructions, and any other documents, which claim to come from me/us (Claimed Instructions) will be treated as having been given by me/us in the form actually received by the Bank.

5. Agree and acknowledge that a claimed Instructions may, as a result of the malfunction of the phone may be different to that intended or sent, and I/We shall be bound by it.

6. confirm and agree that the Bank will not be liable for any loss (consequential or otherwise) incurred by me/us as a result of the Bank acting or declining to act (wholly or in part) on instructions which the Bank believes to have been given in conformity with the above, whether or not such instructions have been so given. The fact that any instruction may later be shown to be in any way false, incomplete, inaccurate, delayed, erroneous, unauthorized or otherwise not authentic, should not be an impediment to the rights of the Bank hereunder. This does not include losses arising from the proven unlawful or fraudulent acts of the Bank's employees.

7. Agree to unequivocally indemnify you and keep you indemnified against all actions, proceedings, claims, demands, liabilities, losses, costs, charges, damages and expenses in relation to and arising out of any of your acts or to act in accordance with such telephone instructions and to pay or reimburse the Bank, on demand and in the currency in which the same shall have been made, suffered or incurred; all Loan disbursements, losses, costs and expenses made, suffered or incurred by the Bank thereunder or in consequence thereof or arising thereout

8. irrevocably authorize the Bank (without prejudice to any other rights that the Bank may have) to credit to my/our account or any of my/our accounts with you all such Loan disbursements, losses, costs and expenses whether such account or accounts is or are overdrawn by reason of any such debit.

9. Agree that the Bank will, notwithstanding this Indemnity, require that any instruction given by me/us be given in accordance with the signing arrangements of the account(s), and the Bank may at its discretion request written or any other form of confirmation of any instruction.

10. Hereby agree that all telephone instructions shall be deemed to be given by the Client in the form received by the Bank irrespective of any distortions occurring during transmission of the instructions.

11. Agree that Without prejudice to the foregoing, I/We shall indemnify and keep the Bank indemnified from, defend the Bank against, and pay any final judgment awarded against the Bank, resulting from third party claims arising from the use of the Services leading to loss or damage (including consequential loss or damage) where the proximate cause of such loss or damage is attributable to my/our negligence, recklessness, indifference, unreasonable delay or any other cause howsoever arising.

12. hereby confirm that the Bank shall not be liable to me/us or any other person where:

i. I/We have entered incorrect details and the Loan disbursements is made to the wrong recipient;

ii. I/We have exceeded transaction/daily or monthly or annual limits for transactions or I/we acting outside of the authorized mandate;

iii. My/Our telephone instructions are not received by the Bank;

iv. My/Our mobile phone, hardware, software or internet provider's service is not functioning properly; v. The transaction is suspicious or fraudulent resulting in losses to the third party;

vi. The transaction details received do not contain the correct information;

vii. My/Our receipt of funds is intercepted by legal process or other encumbrance restricting the transfer; or

viii. Unforeseen circumstances prevent the execution of a request by the Bank despite any Reasonable precautions taken by the Bank. Such circumstances may include, but are not limited to acts of God, power outages, fire, flood, theft, equipment breakdowns, internal mechanical malfunction, or the Banks System delays or failures.

13. The indemnity and all future transactions shall be governed by the laws of Kenya and I/We submit to the jurisdiction of the Kenyan Courts and the Banks policies and procedures.

Signed by the duly authorized signatories under seal/ official stamp.

Name: _____ID No. _____ Signature: _____ Date: _____

Name: _____ID No. _____ Signature: _____ Date: _____

Name: _____ID No. _____ Signature: _____ Date: _____

5.4 Anchor Appraisal Checklist

Anchor/Sub Anchor Name: ……

No	Item	Tick (√)	Comment (if any)
1	Brief profile of the entity and the organogram		
2	Management profile of the key managers of the company		
3	Description of the current distribution framework detailing how the products move from the Anchor to the final consumers (Go to Market Strategy)		
4	2 years audited accounts		
5	Current management accounts (where the latest audited accounts are older than 1 year)		
6	CRB reports for the directors and entity		
7	Current debtors and creditors listing and ageing analysis		
8	Pricing matrix attached		
9	Indicate proposed loan tenor with justification		
10	Entity to have Operated the business for at least 3 years		
11	Latest 12 months distributor/retailer sales' data		
12	Indicate terms of trade with the distributors/retailers -cash basis or credit period allowed e.g 30 days, 60 days, 90 days etc		
13	KYC documents/information: ID & PIN copies of directors, certificate of incorporation, latest CR12, Memarts, Company PIN and tax compliance certificate		
14	Launch the memo under document sign		

Prepared By: RM Responsible…… Date……

Approved By: HOD…….. Date……

5.5 Data Submission Template

MERCHANT_ID	NATIONAL_ID	PHONE_NO	CHANNEL	TRANSACTION_ID	FACE_AMOUNT	TRANSACTION_DATE	OTHER_DETAILS

5.6 SME Lending Product Set Up

LMS PARTNER CREATION FORM

This form will facilitate creation of a partner (anchor) in the Loan Management System (LMS)

The partner details are as follows:

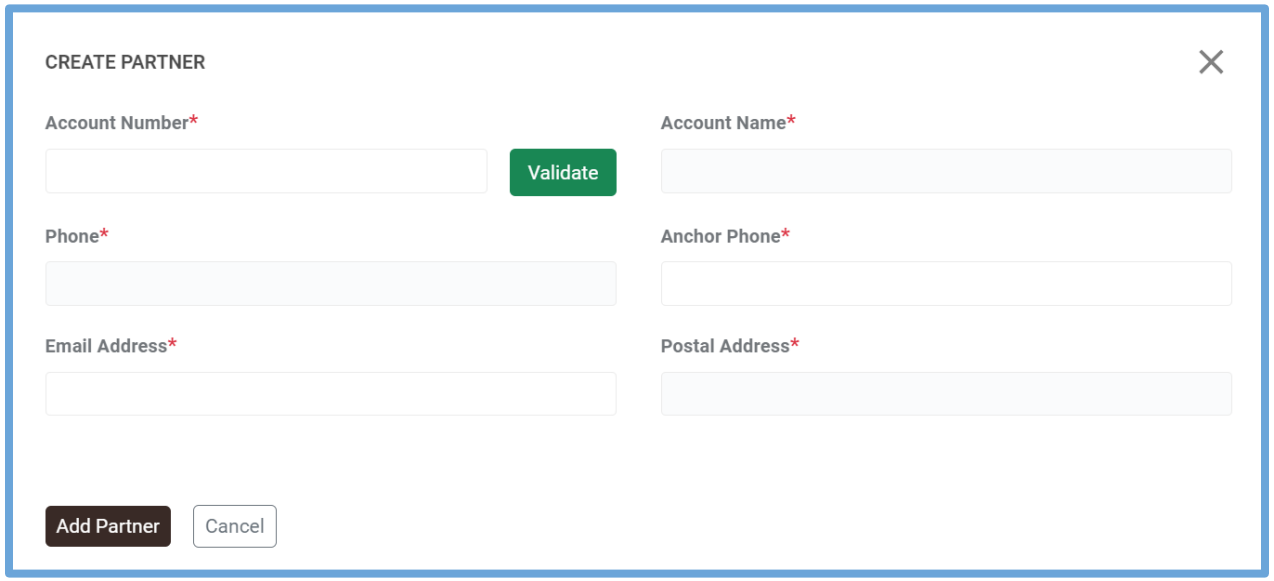
Account Number	
Account Name	
Anchor Phone	
Email Address	
Postal Address	

Retail Digital

Prepared by:	Signature	Date
Checked by:		
Approved by:		

Account Maintenance Unit

Maintained by:	Signature	Date
Verified by:		


CREATE PARTNER
Account Number*
Validate
Account Name*
Phone*
Anchor Phone*
Email Address*
Postal Address*
Add Partner
Cancel

LMS LOAN PRODUCT CREATION FORM

This form will facilitate set up of a partner(anchor) in the Loan Management System (LMS)

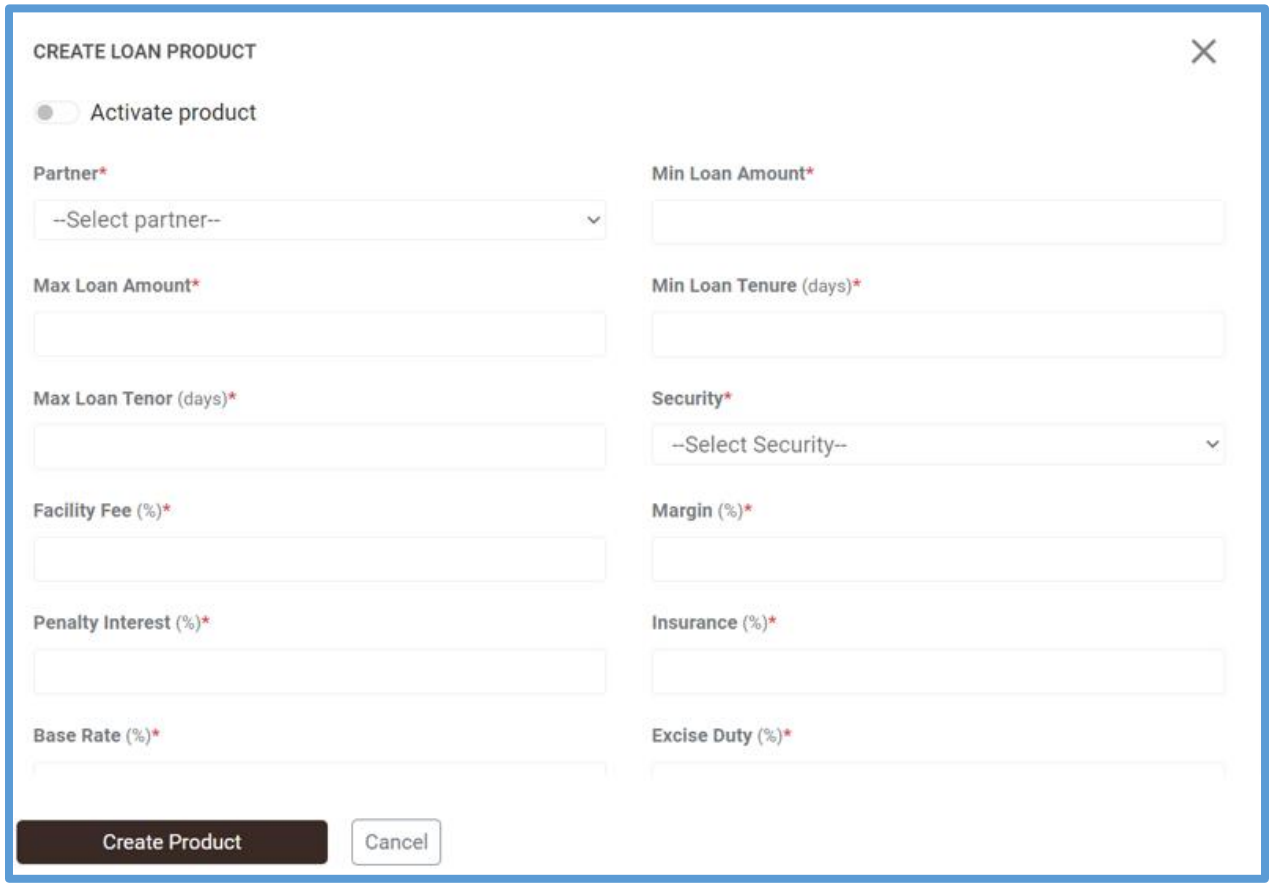
Name of the Partner	
Min Loan Amount	
Max Loan Amount	
Min Loan Tenure(days)	
Max Loan Tenor(days)	
Security - Secured	
- Unsecured	
Facility Fee (%)	
Margin (%)	
Penalty Interest (%)	
Insurance (%)	
Base Rate (%)	
Excise Duty (%)	

Retail Digital

Prepared by:	Signature	Date
Checked by:		
Approved by:		

Account Maintenance Unit

Maintained by:	Signature	Date
Verified by:		


CREATE LOAN PRODUCT
Activate product
Partner*
--Select partner--
Min Loan Amount*
Max Loan Amount*
Min Loan Tenure (days)*
Max Loan Tenor (days)*
Security*
--Select Security--
Facility Fee (%)*
Margin (%)*
Penalty Interest (%)*
Insurance (%)*
Base Rate (%)*
Excise Duty (%)*
Create Product
Cancel

5.7 Process Flow Chart

